



Quarterly Report
of the Dino Polska S.A. Group
for Q3 2022



Unofficial translation. Only the Polish version is binding.

DINO POLSKA Spółka Akcyjna (“Dino”, “Dino Polska”, “Company”, “parent company”)

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company’s share capital as at 30 September 2022 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document (“Q3 2022 Report”, “Report”) comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska Group (“Group”, “Dino Group”) for the third quarter of 2022 (“Financial Statements”), the Company’s condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 3 November 2022 (“Report Date”).

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2022- 30.09.2022</i>	<i>01.01.2021- 30.09.2021</i>	<i>01.01.2022- 30.09.2022</i>	<i>01.01.2021- 30.09.2021</i>
Sales revenue	14,108,719	9,498,075	3,009,539	2,083,597
Operating profit	1,100,090	731,328	234,661	160,432
Profit before tax	996,491	699,650	212,562	153,483
Net profit	803,883	569,769	171,477	124,990
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	8.20	5.81	1.75	1.27
Cash flow from operating activities	909,753	756,508	194,060	165,955
Cash flow from investing activities	(1,117,242)	(1,038,462)	(238,320)	(227,808)
Cash flow from financing activities	254,320	(109,843)	54,249	(24,096)
Net change in cash and cash equivalents	46,831	(391,797)	9,990	(85,949)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2022: 4.6880
- NBP's average exchange rate for Q1-Q3 2021: 4.5585

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>30.09.2022</i>	<i>31.12.2021</i>	<i>30.09.2022</i>	<i>31.12.2021</i>
Total assets	8,267,872	7,168,531	1,697,785	1,558,580
Total non-current assets	6,038,953	5,183,347	1,240,082	1,126,962
Total current assets	2,228,919	1,985,184	457,702	431,618
Equity	3,874,073	3,070,190	795,530	667,520
Share capital	9,804	9,804	2,013	2,132
Non-current liabilities	1,500,117	1,092,804	308,045	237,597
Current liabilities	2,893,682	3,005,537	594,210	653,463

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2022: 4.8698
- NBP's average exchange rate as at 31 December 2021: 4.5994

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 30 September 2022, the Dino network consisted of 2,069 stores with a total selling area of 812,601 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 956, i.e. 86%, in the period of three years up to 30 September 2022. Its geographic expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in the period of January-September 2022 stood at 28.3% compared to the corresponding period of 2021. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standardized store design, equipped with parking places for its customers and supplied with fresh products every day of the week. The sales floor area in most stores is approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on seven distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Group's profitability.

Dino's strategy assumes further business development by focusing on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years Dino Polska generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

We regularly analyze the risks and opportunities related to climate change as we pursue Dino Polska's business objectives. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group. In 2022 Dino Polska has continued to install photovoltaic panels on the rooftops of Dino stores whereby the Dino Group's electricity demand is being satisfied to an ever greater degree by renewable energy sources. The number of Dino stores outfitted with their own photovoltaic installations rose from 802 at the end of 2021 to 1,476 at the end of September 2022 while the total capacity of these panels climbed to 53 MW. In the

period from January to September 2022 Dino Polska generated 34.5 GWh of electricity from the sun versus 13.2 GWh in the corresponding period of 2021.

2.1.2. Recap of the Dino Group's operations in Q3 2022

In Q3 2022 the Dino Group's revenue was PLN 5,367.8 million, meaning it was up by PLN 1,880.7 million, i.e. 53.9% higher than in Q3 2021. Concurrently, the cost of sales climbed 56.0% to PLN 4,080.6 million. Year-to-date, in the first 9 months of 2022 the Dino Group's revenue totaled PLN 14,108.7 million and was up PLN 4,610.6 million, or 48.5% higher compared to the corresponding period of 2021. At the same time, the cost of sales rose 49.8% to PLN 10,660.5 million.

The table below presents selected line items from the consolidated statement of profit or loss.

(PLN 000s)	Q3 2022	Q3 2021	change	Q1-Q3 2022	Q1-Q3 2021	change
Sales revenue	5,367,782	3,487,043	53.9%	14,108,719	9,498,075	48.5%
Cost of sales	(4,080,600)	(2,616,417)	56.0%	(10,660,472)	(7,114,195)	49.8%
Gross profit on sales	1,287,182	870,626	47.8%	3,448,247	2,383,880	44.6%
Other operating income	2,264	2,044	10.8%	7,647	6,201	23.3%
Sales and marketing expenses	(785,586)	(547,392)	43.5%	(2,241,898)	(1,569,677)	42.8%
General administration expenses	(39,784)	(29,274)	35.9%	(103,815)	(80,238)	29.4%
Other operating expenses	(4,552)	(3,105)	46.6%	(10,091)	(8,838)	14.2%
Operating profit	459,524	292,899	56.9%	1,100,090	731,328	50.4%
Financial income	1,213	166	630.7%	2,505	810	209.3%
Financial expenses	(41,530)	(11,481)	261.7%	(106,104)	(32,488)	226.6%
Profit before tax	419,207	281,584	48.9%	996,491	699,650	42.4%
Income tax	(79,837)	(52,824)	51.1%	(192,608)	(129,881)	48.3%
Net profit	339,370	228,760	48.4%	803,883	569,769	41.1%

In Q3 2022 profit measured by EBITDA grew year on year by 49.8% to PLN 536.0 million. The EBITDA margin was 10.0% versus the 10.3% margin posted one year ago. Year-to-date, in the first 9 months of 2022 profit measured by EBITDA grew year on year by 44.9% to PLN 1,319.5 million. The EBITDA margin was 9.4% versus the 9.6% margin posted one year ago.

The following table presents EBITDA.

(PLN 000s)	Q3 2022	Q3 2021	change	Q1-Q3 2022	Q1-Q3 2021	change
Net profit	339,370	228,760	48.4%	803,883	569,769	41.1%
Income tax	(79,837)	(52,824)	51.1%	(192,608)	(129,881)	48.3%
Result on financing activity	(40,317)	(11,315)	256.3%	(103,599)	(31,678)	227.0%
EBIT	459,524	292,899	56.9%	1,100,090	731,328	50.4%
EBIT margin	8.6%	8.4%	-	7.8%	7.7%	-
Depreciation and amortization	(76,517)	(64,929)	17.8%	(219,373)	(179,193)	22.4%
EBITDA	536,041	357,828	49.8%	1,319,463	910,521	44.9%
EBITDA margin	10.0%	10.3%	-	9.4%	9.6%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in current stores (like for like, LfL)¹. LfL sales growth in Q3 2022 was 33.2%, compared to the corresponding period of 2021. In January-September 2022 LfL sales growth was 28.3%.

The following table presents a comparison of the inflation trends in Poland and top line LfL growth in Dino's current store network.

%	2022			Q1-Q3			2021	2020	2019
	Q3	Q2	Q1	2022	2021	2020			
Inflation (deflation)	16.3	13.9	9.7	13.3	4.2	3.6	5.1	3.4	2.3
Food price inflation	17.4	13.4	8.7	13.2	2.0	5.8	3.2	4.7	4.9
Dino's LfL	33.2	29.8	20.4	28.3	9.9	13.0	12.4	12.6	11.6

Fresh products, including meat, cold cuts and poultry, accounted for 38.9% of the Group's sales in Q3 2022 and for 39.0% in the January-September 2022 period.

The table below shows the structure of sales revenues by product in individual periods.

%	Q3 2022	Q3 2021	Q1-Q3 2022	Q1-Q3 2021
Fresh products	38.9	36.7	39.0	37.5
Other groceries*	50.0	51.2	49.2	49.9
Non-grocery products	11.1	12.1	11.8	12.6

* in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen food, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes

Dino store network roll-out

In Q3 2022, 94 new Dino stores were opened. YTD from the beginning of 2022, 256 stores have been opened. As at 30 September 2022, the Dino network consisted of 2,069 stores.

The following table presents information on the Dino Group's number of stores as at specified dates.

	As at 30 September		As at 31 December		
	2022	2021	2021	2020	2019
Number of new store openings (YTD)	256	234	343	255	243
Total number of stores	2,069	1,706	1,815	1,473	1,218
Total selling area (m ²)	812,601	666,843	710,433	573,489	472,224
Growth of sales area y/y	21.9%	25.2%	23.9%	21.4%	25.7%

Cost of sales

The cost of sales was 76.0% and 75.0% of revenue, respectively in Q3 2022 and Q3 2021. The cost of sales rose PLN 1,464.2 million, i.e. by 56.0% to PLN 4,080.6 million in Q3 2022 compared to PLN 2,616.4 million in Q3 2021, with a corresponding 53.9% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group store network and rising sales in the current store network (LfL). To a lesser extent, it was also driven by higher prices to purchase merchandise.

¹ Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.

Sales and marketing expenses

Sales and marketing expenses grew by PLN 238.2 million, i.e. 43.5% to PLN 785.6 million in Q3 2022 compared to PLN 547.4 million in Q3 2021. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the store network and rising LFL sales in existing stores, thereby necessitating higher costs associated with store upkeep and storage of merchandise.

General administration expenses

General administration expenses rose PLN 10.5 million, or 35.9%, to PLN 39.8 million in Q3 2022 compared to PLN 29.3 million in Q3 2021. This was caused mainly by the expansion of the Dino store network (some administrative functions expanded in line with the Dino store network's rollout).

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q3 2022	Q3 2021	change	Q1-Q3 2022	Q1-Q3 2021	change
Depreciation and amortization	76,517	64,929	17.8%	219,373	179,193	22.4%
Consumption of materials and energy	459,304	269,096	70.7%	1,211,975	749,753	61.6%
External services	162,441	122,376	32.7%	453,644	310,367	46.2%
Taxes and fees	91,825	62,173	47.7%	251,805	175,726	43.3%
Employee benefits	541,572	393,081	37.8%	1,556,360	1,140,453	36.5%
Other costs by nature	23,002	15,286	50.5%	55,890	38,843	43.9%
Cost of goods and materials sold	3,553,916	2,265,955	56.8%	9,265,699	6,175,040	50.1%
Total costs by nature, including:	4,908,577	3,192,896	53.7%	13,014,746	8,769,375	48.4%
Items captured in cost of sales	4,080,600	2,616,417	56.0%	10,660,472	7,114,195	49.8%
Items captured in sales and marketing expenses	785,586	547,392	43.5%	2,241,898	1,569,677	42.8%
Items captured in general administration expenses	39,784	29,274	35.9%	103,815	80,238	29.4%
Movement in products	2,607	(187)	-	8,561	5,265	62.6%

Total costs rose PLN 1,715.7 million, or 53.7%, to PLN 4,908.6 million in Q3 2022, compared to PLN 3,192.9 million in Q3 2021, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 1,288.0 million), (ii) consumption of materials and energy (up PLN 190.2 million) and (iii) costs of employee benefits (up PLN 148.5 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL).

The costs of employee benefits rose PLN 148.5 million, i.e. 37.8% to PLN 541.6 million in Q3 2022 compared to PLN 393.1 million in Q3 2021. This growth resulted primarily from the higher number of Dino Group employees from 29,632 as at 30 September 2021 to 35,652 as at 30 September 2022 in connection with the Dino Group's expanding business size and the related expansion of the Dino store network and rising LFL sales in the existing network and from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 190.2 million, or 70.7%, to PLN 459.3 million in Q3 2022 compared to PLN 269.1 million in Q3 2021. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino store network and rising LFL sales in the current store network and by the significant growth in the price of electricity.

External services, which comprised in particular transportation and maintenance services increased by PLN 40.1 million, or 32.7%, to PLN 162.4 million in Q3 2022 compared to PLN 122.4 million in Q3 2021. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino store network and rising LFL sales in the current store network. It was also driven by the inflation in the prices for external services, especially inflation in transport costs due to rising fuel prices.

Financial expenses

The Dino Group's financial expenses rose PLN 30.0 million, or 261.7%, to PLN 41.5 million in Q3 2022 compared to PLN 11.5 million in Q3 2021. This increase followed from higher interest rates.

Balance sheet – assets

The table below presents selected line items of the balance sheet.

(PLN 000s)	30.09.2022	30.06.2022	31.12.2021	30.09.2021	Change 30.09.22 / 31.12.21	Change 30.09.22 / 30.09.21
Property, plant and equipment	5,791,292	5,515,433	4,911,353	4,583,239	17.9%	26.4%
Right-of-use assets	124,850	131,559	139,931	160,735	-10.8%	-22.3%
Intangible assets	95,872	96,119	96,947	98,029	-1.1%	-2.2%
Deferred tax assets	26,939	26,407	35,116	21,197	-23.3%	27.1%
Total non-current assets	6,038,953	5,769,518	5,183,347	4,863,200	16.5%	24.2%
Inventories	1,558,025	1,532,394	1,373,463	971,820	13.4%	60.3%
Trade and other receivables	135,170	135,328	144,012	62,943	-6.1%	114.7%
Income tax receivables	0	0	55	38	-100.0%	-100.0%
Other non-financial assets	68,946	64,218	47,712	62,595	44.5%	10.1%
Other financial assets	1,332	1,476	1,327	1,219	0.4%	9.3%
Cash and cash equivalents	465,446	153,160	418,615	88,621	11.2%	425.2%
Total current assets	2,228,919	1,886,576	1,985,184	1,187,236	12.3%	87.7%
TOTAL ASSETS	8,267,872	7,656,094	7,168,531	6,050,436	15.3%	36.6%

Total assets increased by PLN 1,099.3 million, i.e. 15.3%, from PLN 7,168.5 million as at 31 December 2021 to PLN 8,267.9 million as at 30 September 2022. Compared to 30 September 2021, total assets rose by PLN 2,217.4 million, or 36.6%. As at 30 September 2022, the main components of total assets were: (i) property, plant and equipment (constituting 70.0%) and (ii) inventories (constituting 18.8%).

Non-current assets increased by PLN 855.6 million, or by 16.5% from PLN 5,183.3 million as at 31 December 2021 to PLN 6,039.0 million as at 30 September 2022. This increase was caused mainly by an increase in property, plant and equipment, which in turn was caused primarily by the growth of the Dino Group sales network (new Dino stores) and capital expenditures.

Current assets increased by PLN 243.7 million, i.e. 12.3%, from PLN 1,985.2 million as at 31 December 2021 to PLN 2,228.9 million as at 30 September 2022. The increase was caused mainly by inventories moving up by PLN 184.6 million, which in turn was precipitated by the Dino Group's expanding business size.

Balance sheet – liabilities and equity

The table below presents selected line items of the balance sheet.

(PLN 000s)	30.09.2022	30.06.2022	31.12.2021	30.09.2021	Change 30.09.22 / 31.12.21	Change 30.09.22 / 30.09.21
Equity	3,874,073	3,534,703	3,070,190	2,836,332	26.2%	36.6%
Share capital	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	3,512,021	3,512,021	2,707,720	2,707,720	29.7%	29.7%
Retained earnings	344,748	5,378	345,166	111,308	-0.1%	209.7%
Other equity	7,500	7,500	7,500	7,500	0.0%	0.0%
Total equity	3,874,073	3,534,703	3,070,190	2,836,332	26.2%	36.6%
Interest-bearing loans and borrowings	815,121	713,400	583,014	629,221	39.8%	29.5%
Lease liabilities (LT)	36,636	36,514	46,621	50,800	-21.4%	-27.9%
Other liabilities	120	120	150	150	-20.0%	-20.0%
Liabilities by virtue of outstanding securities (LT)	620,000	450,000	450,000	249,937	37.8%	148.1%
Provisions for employee benefits	4,827	4,827	4,827	2,844	0.0%	69.7%
Deferred tax liability	23,412	20,566	8,187	38,543	186.0%	-39.3%
Accruals and deferred revenue (LT)	1	2	5	2	-80.0%	-50.0%
Total non-current liabilities	1,500,117	1,225,429	1,092,804	971,497	37.3%	54.4%
Trade and other payables	2,375,970	2,429,864	2,454,051	1,682,289	-3.2%	41.2%
Current part of interest-bearing loans and borrowings	346,105	324,645	196,169	271,761	76.4%	27.4%
Lease liabilities (ST)	21,130	25,316	27,721	27,627	-23.8%	-23.5%
Liabilities by virtue of outstanding securities (ST)	8,553	6,496	171,642	170,923	-	-95.0%
Income tax liabilities	62,088	24,249	93,017	26,962	-33.3%	130.3%
Accruals and deferred revenue (ST)	77,892	83,448	60,993	61,713	27.7%	26.2%
Provisions for employee benefits and other provisions	1,944	1,944	1,944	1,332	0.0%	45.9%
Total current liabilities	2,893,682	2,895,962	3,005,537	2,242,607	-3.7%	29.0%
Total liabilities	4,393,799	4,121,391	4,098,341	3,214,104	7.2%	36.7%
TOTAL EQUITY AND LIABILITIES	8,267,872	7,656,094	7,168,531	6,050,436	15.3%	36.6%

As at 31 September 2022, the main components of liabilities were: (i) trade and other payables representing 54.1%; (ii) interest-bearing loans and borrowings (long-term) representing 18.6% thereof and (iii) liabilities under outstanding securities representing 14.1%. Total liabilities rose by PLN 295.5 million, i.e. 7.2%, from PLN 4,098.3 million as at 31 December 2021 to PLN 4,393.8 million as at 30 September 2022.

The Dino Group's net debt² stood at PLN 1,382.1 million as at 30 September 2022, signifying growth of PLN 325.5 million compared to 31 December 2021. The net debt to EBITDA ratio for the last 12 months was 0.82x as at 30 September 2022. As at 31 December 2021 this ratio was 0.83x.

² Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.

Cash flows

The table below presents selected line items of the statement of cash flows.

(PLN 000s)	Q3 2022	Q3 2021	change	Q1-Q3 2022	Q1-Q3 2021	change
Net cash from operating activities, including:	460,872	228,031	102.1%	909,753	756,508	20.3%
<i>profit before tax</i>	419,207	281,584	48.9%	996,491	699,650	42.4%
<i>depreciation and amortization</i>	76,517	64,929	17.8%	219,373	179,193	22.4%
<i>movement in working capital</i>	(40,124)	(100,879)	-60.2%	(213,108)	(8,196)	2500.1%
<i>other</i>	5,272	(17,603)	-	(93,003)	(114,139)	-18.5%
Net cash from investing activities	(393,286)	(329,567)	19.3%	(1,117,242)	(1,038,462)	7.6%
Net cash from financing activities	244,700	(13,632)	-	254,320	(109,843)	-
Net increase in cash and cash equivalents	312,286	(115,168)	-	46,831	(391,797)	-

The Dino Group generated PLN 460.9 million in net cash from operating activities in Q3 2022. In Q3 2021 cash flow was PLN 228.0 million.

Net cash flow from investing activities totaled PLN 393.3 million in Q3 2022, i.e. it was up 19.3% over Q3 2021. The high level of capital expenditures stems chiefly from the high pace of new Dino store openings and the launch of the Company's eighth distribution center (in Kaliska in the Kujawy and Pomeranian region). The Company's estimated full year capital expenditures in 2022 will total roughly PLN 1.4 billion.

2.1.3. Factors impacting Dino's operations and results

The Dino Management Board is of the opinion that the following factors may exert an impact on the Dino Group's business and results up to the end of 2022, and in subsequent quarters.

- the pace of new store openings by Dino Polska and the related capital expenditures, which may be adversely affected by the high level of inflation in the construction sector and the rising debt financial expenses; the Management Board's priorities in subsequent quarters span the conduct of restrictively selecting sites for new Dino stores to keep the inflation in the costs of store construction at the lowest possible level while simultaneously limiting the usage of debt financing; the Company's Management Board expects that i) in the full year of 2022 the number of new store openings will be slightly higher than in 2021 when 343 Dino stores were opened, ii) in 2023 the total number of Dino stores will grow by a percentage in the low teens,
- changes in consumer spending precipitated by evolving business conditions, especially high food inflation and the generally high level of inflation, which may contribute to deterioration in consumers' disposable income,
- rising prices of agricultural commodities, electricity, natural gas, packaging and labor costs, which translates into rising costs of producing food, and hence to higher prices for the products store networks buy from food producers; the aforementioned factors also directly affect the operating expenses of the Dino Polska Group and in total they may exert pressure on the Group's profitability,
- the high pace of growth in the Company's business size, which should translate into improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, as well as improved efficiency of logistics services provided to the stores.

One special factor that may affect Dino Polska's business is the war in Ukraine. Although Dino Polska does not operate outside Poland and in principle it does not procure products in Russia and Ukraine, and therefore, on the Report Date, it has not identified a direct material impact exerted by the war on the Company's business, one cannot preclude that as a result of escalation of the military conflict, its impact on Ukraine's economy and due to the sanctions imposed on Russia, disruptions may emerge on the international markets for agricultural merchandise and other commodities. That in turn may ratchet up the pressure to increase the costs of producing foodstuffs. These costs may subsequently be passed on to store networks and that may also generally contribute to even higher operating expenses among food producers and distributors. The possible impact of a military conflict in a country

neighboring with Poland on the sentiment of Polish consumers may be mitigated in the case of Dino Polska's business by the fact that Dino stores distribute food, in other words, staples. In turn, the influx of refugees from Ukraine to Poland and the favorable price attribute of products offered in Dino stores may lead to higher consumer demand for these products. To counteract the risks related to the war in Ukraine Dino Polska takes initiatives focused on enlarging the group of food producers with which it cooperates and on strengthening relations with suppliers. Moreover, to ensure greater product availability in Dino stores the Company strives to maintain high levels of inventories in its distribution centers. Concurrently, to ensure that Dino stores are attractive to consumers, and thereby to sustain the favorable growth rate in revenue, the prices of several hundred key products are regularly checked and set at a competitive level in respect of discount networks.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of "DINO POLSKA" S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Percentage of share capital and votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ³	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member of the Company, held 30,000 Company shares as at the Report Date. Compared to the publication date of the H1 2022 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, a Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the H1 2022 report).

The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 33,667 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of shares in the Company held by the Supervisory Board members has not changed since the publication date of the H1 2022 report.

2.3. Operating Segments

The "DINO POLSKA" S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would

³ BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 160 thousand Company shares.

be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the “DINO POLSKA” S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)

	<i>01.01.2022- 30.09.2022</i>	<i>01.01.2021- 30.09.2021</i>
Revenue on sales of products and services	1,563,003	1,112,933
Revenue on sales of goods and materials	12,545,716	8,385,142
Total	14,108,719	9,498,075

3. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE “DINO POLSKA” S.A. GROUP

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2022 to 30 September 2022 (PLN 000s)

<i>(in thousands of PLN)</i>	01.01.2022- 30.09.2022	01.01.2021- 30.09.2021	01.07.2022- 30.09.2022	01.07.2021- 30.09.2021
Sales revenue	14,108,719	9,498,075	5,367,782	3,487,043
Cost of sales	(10,660,472)	(7,114,195)	(4,080,600)	(2,616,417)
Gross profit on sales	3,448,247	2,383,880	1,287,182	870,626
Other operating income	7,647	6,201	2,264	2,044
Sales and marketing expenses	(2,241,898)	(1,569,677)	(785,586)	(547,392)
General administration expenses	(103,815)	(80,238)	(39,784)	(29,274)
Other operating expenses	(10,091)	(8,838)	(4,552)	(3,105)
Operating profit	1,100,090	731,328	459,524	292,899
Financial income	2,505	810	1,213	166
Financial expenses	(106,104)	(32,488)	(41,530)	(11,481)
Profit before tax	996,491	699,650	419,207	281,584
Income tax	(192,608)	(129,881)	(79,837)	(52,824)
Net profit	803,883	569,769	339,370	228,760
Profit attributable:				
To owners of the parent	803,883	569,769	339,370	228,760
Non-controlling shareholders				
Earnings per share:				
– basic earnings from profit attributable to owners of the parent	8.20	5.81	3.46	2.33
– basic earnings from profit from continuing operations attributable to owners of the parent	8.20	5.81	3.46	2.33
– diluted earnings from profit attributable to owners of the parent	8.20	5.81	3.46	2.33
– diluted earnings from profit from continuing operations attributable to owners of the parent	8.20	5.81	3.46	2.33

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2022 to 30 September 2022 (PLN 000s)

(in thousands of PLN)

	01.01.2022- 30.09.2022	01.01.2021- 30.09.2021	01.07.2022- 30.09.2022	01.07.2021- 30.09.2021
Net profit for the reporting period	803,883	569,769	339,370	228,760
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>				
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-	-	-
Net other comprehensive income	-	-	-	-
Comprehensive income in the reporting period	803,883	569,769	339,370	228,760
Comprehensive income attributable:				
To owners of the parent	803,883	569,769	339,370	228,760
Non-controlling shareholders	-	-	-	-
	803,883	569,769	339,370	228,760

3.3. Condensed consolidated statement of financial position

as at 30 September 2022 (PLN 000s)

(in thousands of PLN)

	30.09.2022	30.06.2022	31.12.2021	30.09.2021
ASSETS				
Property, plant and equipment	5,791,292	5,515,433	4,911,353	4,583,239
Right-of-use assets	124,850	131,559	139,931	160,735
Intangible assets	95,872	96,119	96,947	98,029
Deferred tax assets	26,939	26,407	35,116	21,197
Total non-current assets	6,038,953	5,769,518	5,183,347	4,863,200
Inventories	1,558,025	1,532,394	1,373,463	971,820
Trade and other receivables	135,170	135,328	144,012	62,943
Income tax receivables	-	-	55	38
Other non-financial assets	68,946	64,218	47,712	62,595
Other financial assets	1,332	1,476	1,327	1,219
Cash and cash equivalents	465,446	153,160	418,615	88,621
Total current assets	2,228,919	1,886,576	1,985,184	1,187,236
TOTAL ASSETS	8,267,872	7,656,094	7,168,531	6,050,436
EQUITY AND LIABILITIES				
Equity (attributable to owners of the parent)	3,874,073	3,534,703	3,070,190	2,836,332
Share capital	9,804	9,804	9,804	9,804
Supplementary capital	3,512,021	3,512,021	2,707,720	2,707,720
Retained earnings	344,748	5,378	345,166	111,308
Other equity	7,500	7,500	7,500	7,500
Non-controlling interests	-	-	-	-
Total equity	3,874,073	3,534,703	3,070,190	2,836,332
Interest-bearing loans and borrowings	815,121	713,400	583,014	629,221
Lease liabilities	36,636	36,514	46,621	50,800
Liabilities by virtue of outstanding securities	620,000	450,000	450,000	249,937
Other liabilities	120	120	150	150
Provisions for employee benefits	4,827	4,827	4,827	2,844
Deferred tax liability	23,412	20,566	8,187	38,543
Accruals and deferred revenue	1	2	5	2
Total non-current liabilities	1,500,117	1,225,429	1,092,804	971,497
Trade and other payables	2,375,970	2,429,864	2,454,051	1,682,289
Current part of interest-bearing loans and borrowings	346,105	324,645	196,169	271,761
Lease liabilities	21,130	25,316	27,721	27,627
Liabilities by virtue of outstanding securities	8,553	6,496	171,642	170,923
Income tax liabilities	62,088	24,249	93,017	26,962
Accruals and deferred revenue	77,892	83,448	60,993	61,713
Provisions for employee benefits	1,944	1,944	1,944	1,332
Total current liabilities	2,893,682	2,895,962	3,005,537	2,242,607
Total liabilities	4,393,799	4,121,391	4,098,341	3,214,104
TOTAL EQUITY AND LIABILITIES	8,267,872	7,656,094	7,168,531	6,050,436

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2022 to 30 September 2022 (PLN 000s)

<i>(in thousands of PLN)</i>	01.01.2022- 30.09.2022	01.01.2021- 30.09.2021	01.01.2022- 30.09.2022	01.01.2021- 30.09.2021
Cash flow from operating activities				
<i>Profit before tax</i>	996,491	699,650	419,207	281,584
<i>Adjustments for the line items:</i>				
Depreciation and amortization	219,373	179,193	76,517	64,929
(Profit)/loss on investment activity	7,884	3,652	3,663	866
Movement in trade receivables and other receivables	5,602	50,507	(13,082)	(20,596)
Movement in inventories	(184,562)	(96,673)	(25,631)	(82,167)
Movement in liabilities, except for loans and borrowings	(34,148)	37,970	(1,411)	1,884
Interest revenue	(2,505)	(669)	(1,213)	(275)
Interest expense	105,595	32,561	41,395	11,487
Movement in prepayments, accruals and deferred revenue	(3,896)	2,253	1,112	(4,089)
Movement in provisions	-	-	-	-
Income tax paid	(200,081)	(151,936)	(39,685)	(25,592)
Other	-	-	-	-
Net cash from operating activities	909,753	756,508	460,872	228,031
Cash flow from investing activities				
Sale of property, plant and equipment and intangible assets	4,883	2,489	3,059	801
Purchase of property, plant and equipment and intangible assets	(1,124,627)	(1,041,343)	(397,703)	(330,476)
Interest received	2,505	669	1,213	275
Repayment of extended borrowings	1,267	1,043	458	366
Granting of loans	(1,270)	(1,320)	(313)	(533)
Net cash from investing activities	(1,117,242)	(1,038,462)	(393,286)	(329,567)
Cash flow from financing activities				
Payment of lease liabilities	(22,127)	(35,545)	(7,086)	(12,101)
Proceeds from obtained loans/borrowings	640,865	128,070	256,148	77,932
Repayment of loans/borrowings	(258,823)	(169,807)	(132,967)	(67,975)
Issue of debt securities	170,000	-	170,000	-
Redemption of debt securities	(170,000)	-	-	-
Interest paid	(105,595)	(32,561)	(41,395)	(11,488)
Net cash from financing activities	254,320	(109,843)	244,700	(13,632)
Net increase in cash and cash equivalents	46,831	(391,797)	312,286	(115,168)
Cash at the beginning of the period	418,615	480,418	153,160	203,789
Cash at the end of the period	465,446	88,621	465,446	88,621

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2022 to 30 September 2022 (PLN 000s)

(in thousands of PLN)

	Attributable to owners of the parent				
	Share capital	Supplementary capital	Retained earnings	Other equity	Total
As at 1 January 2022	9,804	2,707,720	345,166	7,500	3,070,190
Net profit for 2022	-	-	803,883	-	803,883
Net other comprehensive income for 2022	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	803,883	-	803,883
Distribution of the 2021 financial result	-	804,301	(804,301)	-	-
As at 30 September 2022	9,804	3,512,021	344,748	7,500	3,874,073
As at 1 January 2021	9,804	2,063,322	185,937	7,500	2,266,563
Net profit for 2021	-	-	805,303	-	805,303
Net other comprehensive income for 2021	-	-	(1,676)	-	(1,676)
<i>Comprehensive income for the year</i>	-	-	803,627	-	803,627
Distribution of the 2020 financial result	-	644,398	(644,398)	-	-
As at 31 December 2021	9,804	2,707,720	345,166	7,500	3,070,190
As at 1 January 2021	9,804	2,063,322	185,937	7,500	2,266,563
Net profit for 2021	-	-	569,769	-	569,769
Net other comprehensive income for 2021	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	569,769	-	569,769
Distribution of the 2020 financial result	-	644,398	(644,398)	-	-
As at 30 September 2021	9,804	2,707,720	111,308	7,500	2,836,332

4. CONDENSED STANDALONE FINANCIAL STATEMENTS OF “DINO POLSKA” S.A.

4.1. Selected standalone financial data

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>01.01.2022- 30.09.2022</i>	<i>01.01.2021- 30.09.2021</i>	<i>01.01.2022- 30.09.2022</i>	<i>01.01.2021- 30.09.2021</i>
Sales revenue	14,067,190	9,497,291	3,000,680	2,083,425
Operating profit	913,244	565,304	194,805	124,011
Profit before tax	801,250	531,508	170,915	116,597
Net profit	647,284	429,707	138,073	94,265
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	6.60	4.38	1.41	0.96
Cash flow from operating activities	747,682	661,618	159,488	145,139
Cash flow from investing activities	(874,818)	(989,913)	(186,608)	(217,158)
Cash flow from financing activities	189,227	(41,437)	40,364	(9,090)
Net change in cash and cash equivalents	62,091	(369,732)	13,245	(81,108)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2022: 4.6880
- NBP's average exchange rate for Q1-Q3 2021: 4.5585

	<i>PLN 000s</i>		<i>EUR 000s*</i>	
	<i>30.09.2022</i>	<i>31.12.2021</i>	<i>30.09.2022</i>	<i>31.12.2021</i>
Total assets	7,454,596	6,564,444	1,530,781	1,427,239
Total non-current assets	5,264,164	4,480,034	1,080,982	974,047
Total current assets	2,190,432	2,084,410	449,799	453,192
Equity	2,954,708	2,307,424	606,741	501,679
Share capital	9,804	9,804	9,804	2,132
Non-current liabilities	1,281,128	923,671	263,076	200,824
Current liabilities	3,044,622	3,210,864	625,205	698,105

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2022: 4.8698
- NBP's average exchange rate as at 31 December 2021: 4.5994

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2022 to 30 September 2022 (PLN 000s)

(in thousands of PLN)

	01.01.2022- 30.09.2022	01.01.2021- 30.09.2021	01.07.2022- 30.09.2022	01.07.2021- 30.09.2021
A. Net revenues on sales and equivalents	14,067,190	9,497,291	5,350,521	3,486,806
I. Net revenue on sales of products	35,098	28,667	12,292	11,269
IV. Net revenue on sales of goods and materials	14,032,092	9,468,624	5,338,229	3,475,537
B. Operating expenses	13,151,382	8,929,055	4,959,029	3,248,257
I. Depreciation and amortization	169,525	132,406	59,426	47,730
II. Consumption of materials and energy	245,140	128,589	88,880	43,611
III. External services	574,066	447,373	201,925	169,364
IV. Taxes and fees	240,546	165,569	87,705	59,012
V. Employee benefits	1,154,476	840,363	397,658	285,537
VI. Social security and other benefits	274,348	199,676	99,095	70,418
VII. Other costs by nature	55,053	38,147	22,725	14,979
VIII. Cost of goods and materials sold	10,438,228	6,976,932	4,001,615	2,557,606
C. Sales profit (loss) (A – B)	915,808	568,236	391,492	238,549
D. Other operating income	6,546	5,015	1,993	1,521
E. Other operating expenses	9,110	7,947	4,147	2,937
F. Operating profit (loss) (C+D-E)	913,244	565,304	389,338	237,133
G. Financial income	3,654	4,227	1,466	65
H. Financial expenses	115,648	38,023	37,120	12,922
I. Profit / (loss) before tax (F + G - H)	801,250	531,508	353,684	224,276
J. Income tax	153,966	101,801	67,659	42,932
K. Other mandatory decreases of profit (increases of loss)	-	-	-	-
L. Net profit (loss) (I – J – K)	647,284	429,707	421,343	181,344

4.3. Condensed standalone balance sheet

as at 30 September 2022 (PLN 000s)

(in thousands of PLN)

	30.09.2022	30.06.2022	31.12.2021	30.09.2021
Assets				
A. Non-current assets	5,264,164	5,044,203	4,480,034	4,194,257
I. Intangible assets	20,101	20,447	21,486	22,710
II. Property, plant and equipment	4,406,317	4,189,298	3,637,916	3,364,025
III. Non-current receivables	-	-	-	-
IV. Non-current investments	755,831	755,831	755,831	755,831
V. Non-current prepayments and accruals	81,915	78,627	64,801	51,691
B. Current assets	2,190,432	1,800,218	2,084,410	1,310,416
I. Inventories	1,502,362	1,489,682	1,344,303	939,980
II. Current receivables	168,089	156,266	199,230	101,001
III. Current investments	497,256	128,723	535,115	253,500
IV. Current prepayments and accruals	22,725	25,547	5,762	15,935
C. Contributions due to share capital	-	-	-	-
D. Treasury stock	-	-	-	-
Total assets	7,454,596	6,844,421	6,564,444	5,504,673

(in thousands of PLN)

	30.09.2022	30.06.2022	31.12.2021	30.09.2021
Equity and liabilities				
A. Equity	2,954,708	2,668,683	2,307,424	2,145,914
I. Share capital	9,804	9,804	9,804	9,804
II. Supplementary capital	2,267,272	2,267,272	1,676,055	1,676,055
III. Revaluation reserve (fund)	-	-	-	-
IV. Other reserve capital	-	-	-	-
V. Profit (loss) brought forward	-	-	-	-
VI. Net profit (loss)	647,284	361,259	591,217	429,707
VII. Other items of equity	30,348	30,348	30,348	30,348
VIII. Charges to net profit during the financial year (negative figure)	-	-	-	-
B. Liabilities and provisions for liabilities	4,499,888	4,175,738	4,257,020	3,358,759
I. Provisions for liabilities	108,012	102,077	67,654	88,952
II. Non-current liabilities	1,281,128	966,886	923,671	763,614
III. Current liabilities	3,044,622	3,033,652	3,210,864	2,460,921
IV. Accruals and deferred revenue	66,126	73,123	54,831	45,272
Total liabilities and equity	7,454,596	6,844,421	6,564,444	5,504,673

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2022 to 30 September 2022 (PLN 000s)

(in thousands of PLN)

	01.01.2022- 30.09.2022	01.01.2021- 30.09.2021	01.07.2022- 30.09.2022	01.07.2021- 30.09.2021
A. Cash flow from operating activities				
I. Net profit (loss)	647,284	429,707	286,025	181,344
II. Total adjustments	100,398	231,911	131,964	11,271
1. Depreciation and amortization	169,525	132,406	59,426	47,730
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-	-	-
3. Interest and profit sharing (dividends)	97,089	30,267	34,755	11,210
4. Profit (loss) on investing activity	7,945	3,253	3,653	951
5. Movement in provisions	40,358	37,279	5,935	6,666
6. Movement in inventories	(158,059)	(92,362)	(12,680)	(88,194)
7. Movement in receivables	14,940	41,575	(12,622)	(20,513)
8. Movement in current liabilities, except for loans and borrowings	(48,618)	91,306	60,960	62,873
9. Movement in prepayments, accruals and deferred revenue	(22,782)	(11,813)	(7,463)	(9,452)
III. Net cash flow from operating activities (I±II)	747,682	661,618	417,989	192,615
B. Cash flow from investing activities				
I. Inflows	382,924	77,041	211,923	39,807
1. Sale of intangible assets and property, plant and equipment	21,257	1,988	4,031	480
2. Sale of investments in real property and intangible assets	-	-	-	-
3. From financial assets, of which:	361,667	75,053	207,892	39,327
a) in related entities	360,919	75,052	207,442	39,327
b) in other entities	748	1	450	-
- interest	748	1	450	-
II. Outflows	(1,257,742)	(1,066,954)	(583,118)	(364,326)
1. Purchase of intangible assets and property, plant and equipment	(997,786)	(941,646)	(344,331)	(316,833)
2. Investments in real property and intangible assets	-	-	-	-
3. Towards financial assets, of which:	(259,956)	(125,308)	(238,787)	(47,493)
a) in related entities	(259,956)	(125,308)	(238,787)	(47,493)
III. Net cash flow from investing activities (I-II)	(874,818)	(989,913)	(371,195)	(324,519)
C. Cash flow from financing activities				
I. Inflows	673,312	144,069	425,595	79,931
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-	-	-
2. Loans and borrowings	503,312	144,069	255,595	79,931
3. Issue of debt securities	170,000	-	170,000	-
4. Other financial proceeds	-	-	-	-
II. Outflows	(484,085)	(185,506)	(134,749)	(64,314)
1. Purchase of treasury shares	-	-	-	-
2. Dividends and other distributions to owners	-	-	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-	-	-
4. Repayment of loans and borrowings	(189,115)	(126,147)	(95,005)	(44,771)
5. Redemption of debt securities	(170,000)	-	-	-
6. On account of other financial liabilities	-	-	-	-
7. Payment of finance lease liabilities	(10,189)	(22,181)	(2,907)	(6,797)
8. Interest	(97,574)	(31,090)	(35,356)	(11,087)
9. Other financial expenditures	(17,207)	(6,088)	(1,481)	(1,659)
III. Net cash from financing activities (I-II)	189,227	(41,437)	290,846	15,617
D. Total net cash flow (A.III±B.III±C.III)	62,091	(369,732)	337,640	(116,287)
E. Balance sheet movement in cash, including	62,091	(369,732)	337,640	(116,287)
F. Cash at the beginning of the period	380,269	423,645	104,720	170,200
G. Cash at the end of the period (F±D), including	442,360	53,913	442,360	53,913
- restricted cash	811	968	716	953

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2022 to 30 September 2022 (PLN 000s)

(in thousands of PLN)

	01.01.2022- 30.09.2022	01.01.2021- 31.12.2021	01.01.2021- 30.09.2021
I. Equity at the beginning of the period (OB)	2,307,424	1,716,207	1,716,207
I.a. Equity at the beginning of the period (OB), adjusted	2,307,424	1,716,207	1,716,207
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	1,676,055	1,208,019	1,208,019
2.1. Changes to supplementary capital	591,217	468,036	468,036
(i) increase	591,217	468,036	468,036
- profit distribution	591,217	468,036	468,036
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	2,267,272	1,676,055	1,676,055
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	591,217	468,036	468,036
5.1. Profit brought forward at the beginning of the period	591,217	468,036	468,036
5.2. Profit brought forward at the beginning of the period, adjusted	591,217	468,036	468,036
(i) increase	-	-	-
b) decrease	(591,217)	(468,036)	(468,036)
- profit distribution - transfer to supplementary capital	(591,217)	(468,036)	(468,036)
5.3. Profit brought forward at the end of the period	-	-	-
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	-	-	-
6. Net result	647,284	591,217	429,707
a) net profit	647,284	591,217	429,707
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	30,348	30,348
7.1 Change in other items of equity	-	-	-
7. Other items of equity at the end of the period	30,348	30,348	30,348
8. Charges to net profit during the financial year (negative figure)	-	-	-
II. Equity at the end of the period (CB)	2,954,708	2,307,424	2,145,914
III. Equity after considering the proposed distribution of profits (coverage of losses)	2,954,708	2,307,424	2,145,914

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter “IFRS”) published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2021.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future.

The interim (condensed) consolidated financial statements for the period from 1 January 2022 to 30 September 2022 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2021.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2022 to 30 September 2022 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group's parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company's date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, nor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- determination of the residual value of fixed assets,
- separation of components and determination of depreciation charges for the actual periods of use,
- retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- recognition of fixed assets and lease liabilities under IFRS16.

The presentation of some line items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

	30.09.2022
Equity according to PAS	2,954,708
Adjusted depreciation and amortization on account of residual value	1,294
Adjusted depreciation and amortization on account of the separation of components	(6,276)
Adjustment - amortization of trademarks	8,401
Adjustment - lease of fixed assets (IFRS 16)	(8,535)
Equity according to IFRS	2,949,592
Net profit according to PAS	647,284
Adjusted depreciation and amortization on account of residual value	(81)
Adjusted depreciation and amortization on account of the separation of components	(2,289)
Adjustment - amortization of trademarks	586
Adjustment - lease of fixed assets (IFRS 16)	536
Actuarial gains/losses pertaining to employee benefits	-
Net profit according to IFRS	646,036
Other comprehensive income	-

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 30 September 2022 and under the assumption that the date for transition to IFRS is 1 January 2013.

Since work is still in progress on more standards and amending the current standards, it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

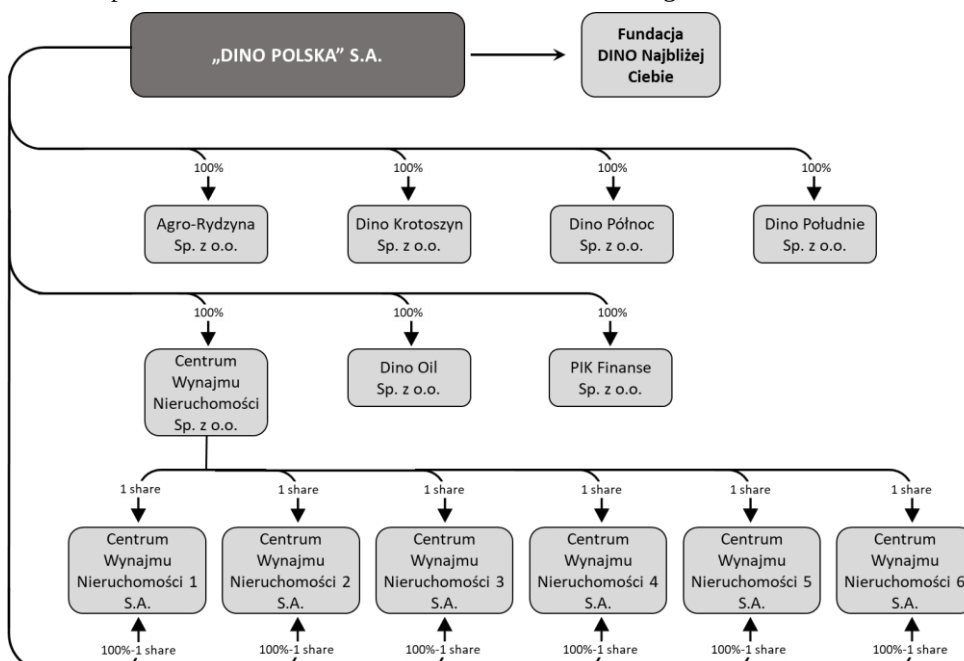
Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

5.2. Group Overview

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, the selection of the product range offered in the stores and it supports other subsidiaries (Real Estate Lease Centers) in the execution of investment processes related to securing new sites and building new stores. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

As at the date of the Report, the work of Dino Polska is run by a two-person Management Board in the following composition: Izabela Biadała, Chief Operating and Administrative Officer and Management Board Member and Michał Krauze, Chief Financial Officer and Management Board Member. The Company's Supervisory Board functions in a five-person composition (Tomasz Biernacki – Chairman and members: Eryk Bajer, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski).

The Group consists of DINO POLSKA S.A. and the following subsidiaries:



In Q3 2022 there were no major changes to the organization of the Dino Polska Group.

Subsidiaries are subject to consolidation from the date when the Group assumes control over them, and they cease to be consolidated when control no longer exists. The parent company has control only if it:

- has power over a given entity,
- is subject to exposure, or has rights, to variable returns from its involvement in a given entity,
- has the ability to affect those returns by exercising its power.

The Company verifies the fact of having power over other entities if there is a situation indicating a change in one or more of the above mentioned pre-conditions for control. Where the Company holds less than a majority of voting rights in an entity, but the voting rights held are sufficient to unilaterally direct the relevant activities of that entity, this means that it exercises authority over the entity. When assessing whether the voting rights in a given entity are sufficient to secure power, the Company analyzes all material circumstances, including:

- the size of the holding of voting rights compared to the size of the holding of shares and the degree of dispersion of voting rights held by other shareholders;
- potential voting rights held by the Company, other shareholders or other parties;
- rights arising from other contractual arrangements; and
- additional circumstances, which may prove whether the Company has or does not have the ability to direct the relevant activities at the moment of the decisions, including voting patterns observed at previous shareholder meetings.

5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

5.4. Other information

Non-recurring amounts and events

No atypical events affecting Dino Polska's financial statements transpired in the period from 1 January 2022 to 30 September 2022.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data for the period from 1 January 2022 to 30 September 2022

(PLN 000s)	30.09.2022	31.12.2021	Change
Impairment losses on receivables	1,150	1,175	(25)

Unconsolidated financial data for the period from 1 January 2022 to 30 September 2022

(PLN 000s)	30.09.2022	31.12.2021	Change
Impairment losses on receivables	1,084	1,109	(25)

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data for the period from 1 January 2022 to 30 September 2022

(PLN 000s)	30.09.2022	31.12.2021	Change
Deferred tax liability	23,412	8,187	15,225
Provision for pension and similar benefits	6,771	6,771	-
	30,183	14,958	15,225

Unconsolidated financial data for the period from 1 January 2022 to 30 September 2022

(PLN 000s)	30.09.2022	31.12.2021	Change
Deferred tax liability	101,730	61,372	40,358
Provision for pension and similar benefits	6,282	6,282	-
	108,012	67,654	40,358

Information on deferred tax liabilities and assets

Consolidated financial data for the period from 1 January 2022 to 30 September 2022

(PLN 000s)	30.09.2022	31.12.2021	Change
Deferred tax liability	23,412	8,187	15,225
Deferred tax asset	26,939	35,116	(8,177)
			23,402

Unconsolidated financial data for the period from 1 January 2022 to 30 September 2022

(PLN 000s)	30.09.2022	31.12.2021	Change
Deferred tax liability	101,730	61,372	40,358
Deferred tax asset	81,915	64,801	17,114
			23,244

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 30 September 2022, the Group incurred capital expenditures of approximately PLN 1,090 million, including fixed assets under construction (in 2021 this level was roughly PLN 985 million).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 178,292 thousand. At the end of Q3 2021, investment commitments were PLN 131,328 thousand.

Material litigation-related settlements

No material litigation transpired in the period from 1 January 2022 to 30 September 2022.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

No occurrences covered by this item occurred in the reporting period.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on an arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

On 28 July 2022 Dino Polska issued 170,000 bonds with a nominal value of PLN 1,000 each and a total value of PLN 170,000,000.00. The bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.20 percentage points per annum. The redemption date was set for 28 July 2026. The bonds are secured under a surety provided by selected Dino Polska S.A. Group companies.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 693,392 thousand (as at 30 September 2021: PLN 687,170 thousand).

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events other than the ones described above occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2022.

Proceedings pending before courts or other competent bodies for the relevant proceedings

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

Both the Parent Company and its subsidiaries enter into transactions on an arm's length basis.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

No events referred to in this header occurred in the reporting period.

Other information

Up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Izabela Biadała – Management Board Member

Michał Krauze – Management Board Member

Krotoszyn, 3 November 2022